

EZCA

THEORETICAL FRAMEWORK

Chapter 1 | Meaning & Scope of Accounting

1. MEANING OF ACCOUNTING

AICPA 1961

Art of recording, classifying & summarising — in money terms — transactions/events of financial character, and interpreting the results.

AAA 1966

Process of identifying, measuring & communicating economic information to permit informed judgements and decisions by users.

APB 1970

Function of accounting is to provide quantitative information, primarily financial, about economic entities useful for economic decisions.

Modern Definition (Working Definition)

Accounting = process of recording, classifying, summarising, analysing & interpreting financial transactions + communicating results to interested parties.

2. ACCOUNTING CYCLE (Flowchart)

A. Generating Financial Information

1. Recording

All financial transactions entered in Journal (primary book), supported by source docs (bills, salary slips, pass book).



2. Classifying

Systematic grouping of similar transactions in Ledger under specific account heads (Salaries, Rent, etc.).



3. Summarising

Preparation of Trial Balance, then Financial Statements — for internal & external users.



4. Analysing

Methodical classification of financial statement data; establishes relationships between P&L and Balance Sheet items.



5. Interpreting

Explains meaning & significance of relationships; tells WHAT happened, WHY, and WHAT IS LIKELY to happen.



6. Communicating

Transmits information via reports — P&L, Balance Sheet, ratios, fund-flow statements — to enable rational decisions.

3. OBJECTIVES OF ACCOUNTING

Systematic Recording	Ascertain Results	Financial Position	Decision-Making Info	Solvency Position
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- **Systematic Recording:** Systematically records financial transactions (book-keeping).
- **Ascertain Results:** P&L Account reveals profit/loss for the period.
- **Financial Position:** Balance Sheet shows assets & liabilities at a specific date.
- **Decision-Making Info:** Communicates results to stakeholders for rational decisions.
- **Solvency Position:** Balance Sheet reveals short-run liquidity & long-run solvency.

4. FUNCTIONS OF ACCOUNTING

Function	What It Does
Measurement	Records past performance; depicts current financial position.
Forecasting	Uses past data & trends to project future performance.
Decision-Making	Provides relevant info to users for rational choices.
Comparison & Evaluation	Assesses performance vs. targets; evaluates accounting policies.
Control	Identifies operational weaknesses; provides corrective feedback.
Govt. Regulation & Taxation	Supplies info to government for regulation & tax collection.

5. BOOK-KEEPING vs. ACCOUNTING

Aspect	Book-Keeping	Accounting
Focus	Recording transactions	Summarising & interpreting recorded data
Role	Base/foundation for accounting	Language of business
Financial Statements	Not prepared here	Prepared on basis of book-keeping records
Decision-Making	Not possible	Management decisions made from accounting reports
Sub-fields	None	Financial, Management, Cost, etc.
Financial Position	Cannot be ascertained	Ascertained via Balance Sheet

Hierarchy: Accountancy > Accounting > Book-Keeping (each is a subset of the one above)

6. SUB-FIELDS OF ACCOUNTING

Sub-field	Focus
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Financial Accounting	Preparation & communication of P&L and Balance Sheet; historical in nature.
Management Accounting	Internal reporting for planning, control & decision-making by managers.
Cost Accounting	Recording & controlling costs; from recording income/expenditure to periodic cost reports.
Social Responsibility Accounting	Accounting for social costs incurred & social benefits created by the enterprise.
Human Resource Accounting	Identifying, quantifying & reporting investments in human resources not in conventional accounts.

7. USERS OF ACCOUNTING INFORMATION

Investors	Employees	Lenders	Suppliers/Creditors	Customers	Govt & Agencies	Public	Management
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- **Investors:** Want to assess buy/hold/sell decisions; interested in dividends & business survival.
- **Employees:** Interested in stability, growth & ability of enterprise to pay salaries & benefits.
- **Lenders:** Want assurance that loan principal & interest will be repaid when due.
- **Suppliers/Creditors:** Need to know ability to pay dues; determine credit policy accordingly.
- **Customers:** Concerned with stability & continuity of supply of goods from the enterprise.
- **Govt & Agencies:** Regulate business, allocate resources, collect taxes & duties.
- **Public:** Interested in enterprise's contribution to local economy & employment.
- **Management:** Uses accounts to evaluate decisions and plan future operations.

8. RELATIONSHIP WITH OTHER DISCIPLINES

Discipline	Key Link with Accounting
Economics	Accounting borrows concepts of value, income & capital from economics; both serve rational decision-making about scarce resources.
Statistics	Statistical tools (averages, ratios, trend analysis) applied to accounting data; both help in generalisation & interpretation.
Mathematics	Double-entry can be expressed algebraically; depreciation, interest, lease calculations use maths; matrix algebra used with computers.
Law	Transactions governed by Contract Act, Sale of Goods Act, etc.; Companies Act prescribes format of financial statements.
Management	Large portion of accounting info prepared for management decisions; accountant plays key role in the management team.

9. LIMITATIONS OF ACCOUNTING

- **Ignores Intangibles:** Non-monetary factors (loyalty, skill, brand value) not captured in accounts.
- **Historical in Nature:** Balance Sheet shows past position — users need future position.

- **Ignores Price Level Changes:** Ignores the effect of inflation on monetary values.
- **Conflicting Principles:** Accounting principles sometimes conflict with each other.
- **Subjectivity:** Estimates depend on personal judgement (depreciation method, bad debt provision).
- **Human Resources Excluded:** Human resources — most valuable assets — are not shown in Balance Sheet.
- **Scope for Manipulation:** Multiple accounting policies for same item allow window-dressing/manipulation.

10. EVOLUTION OF ACCOUNTING (Timeline)

4000 BC onwards	Egyptians, Babylonians, Greeks & Romans used rudimentary accounting for treasuries and commerce.
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2000 BC	China used sophisticated government accounting. India: Kautilya's 'Arthashastra' described record-keeping methods.
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1494 AD	Luca Pacioli published 'Summa de Arithmetica' — first book on double-entry bookkeeping; introduced Debit & Credit.
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Phase 1	Stewardship Accounting — wealthy owners employed stewards who rendered periodic accounts. Root of financial accounting.
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Phase 2	Financial Accounting — emerged with joint-stock companies; mandatory disclosure of P&L and Balance Sheet by law.
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Phase 3	Management Accounting — 20th century development; accounting info generated specifically to aid management decisions.
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Phase 4	Social Responsibility Accounting — formative stage; accounts for social costs (pollution, resource use) & social benefits.

11. QUICK RECALL — KEY TERMS

Transaction	<i>A business act or agreement that has financial character (e.g. purchase, sale, payment of rent).</i>
Event	<i>A happening that is the consequence of a transaction or series of transactions (e.g. earning a surplus).</i>
Journal	<i>Primary book of original entry where transactions are first recorded.</i>
Ledger	<i>Secondary book where transactions are classified under specific account heads.</i>
Trial Balance	<i>Statement listing all ledger balances to verify arithmetic accuracy before preparing final accounts.</i>
Balance Sheet	<i>Snapshot of a firm's assets, liabilities & capital at a specific date — shows financial position.</i>

P&L Account

Statement showing income vs. expenses for a period — determines profit or loss.

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